

CAPITAL GAINS TAX COMPARISON REPORT

Comparative Analysis: 12.5% Without Indexation vs. 20% With Indexation | Finance (No. 2) Act, 2024 Regime

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RECOMMENDED METHOD: 20% WITH INDEXATION

Estimated Tax Saving: ₹7,79,142.00

Tax under 12.5% Method: ₹9,96,710 | Tax under 20% Indexed Method: ₹2,17,568

1. Assessee & Transaction Particulars

Name of Assessee:	Shri Durga Prasad	Permanent Account No. (PAN):	ABCPS1234F
Status & Residential:	Individual Resident	Assessment Year / FY:	AY 2027-28 (FY 2026-27)
Asset Category:	Land & Building	Holding Period:	289.3 months (8806 days) - LONG_TERM
Date of Acquisition:	15/03/2002 (FY 2001-02, CII: 100)	Date of Sale / Transfer:	24/04/2026 (FY 2026-27, CII: 392)

2. Side-by-Side Capital Gains & Tax Computation

Particulars	12.5% Without Indexation	20% With Indexation
A. Gross Sale Consideration	₹98,00,000	₹98,00,000
Less: Transfer / Selling Expenses	₹1,30,000	₹1,30,000
B. Net Sale Consideration	₹96,70,000	₹96,70,000
C. Cost of Acquisition (Actual)	₹17,00,000	₹66,64,000
D. Cost of Improvement (1 entry/entries)	₹10,00,000	₹19,60,000
E. Taxable Long-Term Capital Gain	₹69,70,000	₹10,46,000
F. Statutory Tax Rate	12.5%	20.0%
G. Basic Capital Gains Tax	₹8,71,250	₹2,09,200
H. Surcharge (Rate: 10.0%)	₹87,125	₹0
I. Health & Education Cess (4.0%)	₹38,335	₹8,368
TOTAL TAX LIABILITY (Rounded u/s 288B)	₹9,96,710	₹2,17,568

3. Cost of Improvement Detailed Indexation Schedule

Particulars	Date	FY	Actual Cost	CII	Indexed Cost	Status / Remarks
Construction	15/06/2012	2012-13	₹10,00,000	200	₹19,60,000	Eligible

4. Statutory Grounds & Recommendation Rationale

The 20% With Indexation method produces a LOWER tax liability of ₹217,568.00 compared to ₹996,710.00 under the 12.5% method. Selecting 20% with indexation results in a net tax saving of ₹779,142.00.

Statutory basis: In terms of the second proviso to Section 112(1)(a) inserted by the Finance (No. 2) Act, 2024, for a resident individual or HUF transferring land or building acquired prior to 23-07-2024, the tax payable shall not exceed the tax computed under the pre-amendment provisions (i.e. at 20% with indexation). Hence, the assessee is legally entitled to pay the lower of the two tax liabilities.

Legacy Asset Note (Section 55(2)(b)): Acquired on or after 01-04-2001. Actual cost of acquisition considered.

LEGAL DISCLAIMER: This report is a calculation aid prepared based on the inputs furnished and the provisions of Section 112, Section 48, and Section 55 of the Income-tax Act, 1961 as amended by the Finance (No. 2) Act, 2024. This document should be reviewed with reference to the applicable statutory provisions, CBDT notifications, circulars, and judicial precedents for the relevant Assessment Year before filing income tax returns.